Investment Process Overview

Carnivore Quant Fund, LP

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STT Capital Advisors, LLC

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Strategy Overview

Carnivore Quant Fund employs a **proprietary systematic long/short equity strategy** built on the PNTHR Signal System. The Fund identifies high-conviction entry points using a multi-dimensional scoring framework, enters positions through a disciplined five-lot pyramid structure, and manages risk via the PNTHR Proprietary Stop Loss System (PPSLS) and portfolio-level controls. The strategy is designed to generate alpha through both long (BL) and short (SS) signals, with a structural long bias reflecting the long-term upward drift of U.S. equity markets.

The PNTHR 679 Universe

Every week the system scans approximately **679 premier U.S. equities** drawn from the S&P 500, Nasdaq 100, Dow 30, and select high-liquidity S&P MidCap 400 constituents. The universe was selected for liquidity, coverage across all 11 GICS sectors, and representation across large-cap and mid-cap market cap ranges. ETFs (sector SPDRs and major index funds) are included for macro and sector exposure.

PNTHR Proprietary Buy Long Signal (BL)

A BL signal is generated when the following conditions are simultaneously true. Specific thresholds, lookback periods, and parameter values are proprietary and not disclosed:

- Weekly close above the stock's sector-specific optimized exponential moving average (EMA)
- Sector EMA slope is positive, confirming the underlying trend is genuine
- Structural breakout confirmation on the weekly bar
- Sufficient separation ("daylight") between weekly bar and EMA to filter false breakouts

PNTHR Proprietary Sell Short Signal (SS)

An SS signal is generated when the following conditions are simultaneously true:

- Weekly close below the stock's sector-specific optimized EMA
- Sector EMA slope is negative, confirming the underlying downtrend is genuine
- Structural breakdown confirmation on the weekly bar
- Sufficient separation between weekly bar and EMA to filter false breakdowns

Additionally, SS signals require the **PNTHR SS Crash Gate** to be satisfied: the applicable macro index must show confirmed downward slope persistence AND the stock's sector must show pronounced short-term weakness. This gate is deliberately restrictive to limit short exposure to market-stress regimes. Exact slope and sector-weakness thresholds are proprietary.

Orders Pipeline Gates

Before any BL or SS candidate becomes a trade, it must pass four sequential gates. The orders pipeline applies these gates in order and rejects any candidate failing any gate.

- **Direction Index Gate:** the stock's applicable index is determined by its actual historical membership (S&P 500 member uses SPY; Nasdaq-100-only member uses QQQ; S&P MidCap 400 member uses MDY; non-index fallback uses SPY). The index's weekly close vs its 21-week EMA must align with the candidate's direction (index above EMA for BL; index below EMA for SS).
- **Sector ETF Gate:** the stock's sector ETF (XLK, XLE, XLV, XLF, XLY, XLC, XLI, XLB, XLRE, XLU, XLP) must be positioned correctly against its sector-specific trend-filter period. Specific periods are empirically optimized per sector and are proprietary.
- **Sector Return Gate (D2):** the stock's sector directional return component of the Kill score must be non-negative.
- **SS Crash Gate:** (SS candidates only) the restrictive short-entry gate described above.

Candidates surviving the gates are ranked by Kill score. The top 10 BL and top 5 SS candidates by score are selected each week.

The PNTHR Kill Scoring Engine

The PNTHR Kill Scoring Engine is the intellectual core of the strategy: **approximately seven years of historical research and out-of-sample validation** distilled into a multi-dimensional scoring framework that transforms the PNTHR 679 universe into a precision-ranked list each week. The system does not guess; it measures, confirms, and ranks systematically.

The Kill score integrates the following categories of measurement (exact weights, formulas, and parameter values are proprietary):

- **Market regime:** index-level direction and slope, with bear-regime amplification of short signals and bull-regime amplification of long signals
- **Sector alignment:** short-term and medium-term directional returns of the stock's sector ETF
- **Entry quality:** technical characteristics of the signal-week weekly bar (close conviction, slope, separation)
- **Signal freshness:** how recently the signal was generated, with decay for aging signals
- **Rank dynamics:** week-over-week ranking improvement and rate of acceleration
- **Momentum confirmation:** multi-oscillator technical momentum (RSI, OBV, ADX, volume)
- **Multi-strategy convergence:** independent confirmation from the PNTHR Prey strategy overlay

The Kill score produces tiered categorization (ALPHA PNTHR KILL, STRIKING, HUNTING, POUNCING, COILING, STALKING, TRACKING, PROWLING, STIRRING, DORMANT, OVEREXTENDED) used by the Analyze pre-trade scoring system and the orders pipeline. Tier thresholds and scoring ranges are proprietary.

PNTHR Analyze Pre-Trade Scoring

The PNTHR Analyze system answers the question every trader must answer before entering: is this the right trade, right now? Every one of Analyze's 100 points can be evaluated at the exact moment the scan runs. No estimation, no guesswork.

Tier	Points	Components
T1: Setup Quality	40	Signal Quality (15), Kill Context (10), Index Trend (8), Sector Trend (7)
T2: Risk Profile	35	Freshness (12), Risk/Reward (8), Prey Presence (8), Conviction (7)
T3: Entry Conditions	25	Slope Strength (5), Sector Concentration (5), Wash Compliance (5), Volatility/RSI (5), Portfolio Fit (5)

Score >=75% = green (optimal). >=55% = yellow (proceed with awareness). <55% = red (reconsider). The Analyze score is preserved as the authoritative snapshot for all downstream journal and discipline scoring.

PNTHR Position Sizing and Pyramiding

Position sizing is where discipline becomes quantifiable. The PNTHR pyramid model ensures maximum capital is only deployed when the market has confirmed the trade multiple times. A new entry receives only 35% of the intended position. Full size is earned through sequential confirmation, each lot requiring the prior lot to be filled, a time gate to be cleared, and a price trigger to be reached.

Lot	Name	Alloc	Trigger	Gate	Purpose
Lot 1	The Scent	35%	Signal entry	None	Initial position; market must confirm
Lot 2	The Stalk	25%	Price confirmation + time	5 trading days	Largest add; time + price both required
Lot 3	The Strike	20%	Price confirmation	Lot 2 filled	Momentum continuation confirmed
Lot 4	The Jugular	12%	Price confirmation	Lot 3 filled	Trend extension
Lot 5	The Kill	8%	Price confirmation	Lot 4 filled	Maximum conviction; full position

Specific price thresholds at which Lots 2 through 5 trigger are proprietary and are not disclosed.

Stop Ratchet on Each Lot Fill

Lot Fill Event	Stop Moves To	Effect
Lot 2 fills	Initial stop (unchanged)	Time + price confirmed, position monitored
Lot 3 fills	Average cost (breakeven)	Capital protected; initial investment covered
Lot 4 fills	Lot 2 fill price	Lot 2 gain locked in as minimum exit
Lot 5 fills	Lot 3 fill price	Full pyramid; aggressive ratcheted stop

Stops never move backwards. The ratchet is a one-way lock. SS positions: ratchets down only.

PNTHR Entry Workflow

Step	Action	What Happens
1	SIZE IT	Analyze scoring (100 pts). Blocked when errors detected. Green >=75%. Yellow 55-74%. Red <55%
2	QUEUE IT	Order queued: ticker, direction, lot size, target price, Analyze score. Per-user, persists across sessions
3	SEND TO COMMAND	4-source cascade: Analyze snapshot (authoritative) to queue entry to MongoDB pipeline to signal cache updated

Systematic Exit Discipline

Every exit is categorized and scored for discipline. Manual overrides are tracked and penalized. The system rewards systematic behavior:

Exit Type	Trigger	Discipline Score
PNTHR Signal	Proprietary PNTHR Exit Signal is generated	12/12 (Perfect)
FEAST	RSI > 85 momentum exhaustion, sell 50% immediately	12/12 (Perfect)
PNTHR PPSLS Stop Hit	Ratchet stop hit	10/12
RISK_ADVISOR	Proactive exit on elevated sector or portfolio exposure advisory	10/12
STALE_HUNT	20-day position without development, mandatory closure	10/12
MANUAL	Discretionary exit	4/12 (profit) or 0/12 (loss)

Friday Pipeline

The Fund runs a weekly batch process every **Friday at 4:15 PM ET** that refreshes all Kill scores, updates the signal state machine, recalculates stops, and persists results to the database. This ensures all scoring data is current for the following week's trading decisions.